

**UNITED STATES INTERNATIONAL TRADE COMMISSION
Washington, D.C.**

In the Matter of

**CERTAIN PORTABLE POWER
STATIONS AND PACKAGING
THEREFOR**

Inv. No. 337-TA-563

**REPLY BRIEF OF THE OFFICE OF UNFAIR
IMPORT INVESTIGATIONS ON REMEDY, THE
PUBLIC INTEREST, AND BONDING**

I. INTRODUCTION

The Office of Unfair Import Investigations (“OUII”) respectfully submits this reply to Complainant Roadmaster’s Submission on Remedy, the Public Interest and Bonding, filed on September 5, 2006. OUII is largely in agreement with Complainant’s position. For the reasons set forth below and in OUII’s initial submission, OUII is of the view that the proper remedy in this investigation is a limited exclusion order directed at Respondent’s infringing products, that no cease and desist order should issue, that the public interest does not preclude entry of relief, and that the appropriate Presidential review period bond is 100% of entered value.¹

¹ OUII’s proposed exclusion order is attached to its initial submission. OUII contacted the Intellectual Property Rights Branch of U.S. Customs and Border Protection (“CBP”), and CBP did not raise any objections to OUII’s proposed order.

II. BACKGROUND²

On February 8, 2006, Complainant Roadmaster (USA) Corp. (“Roadmaster”) filed a Complaint alleging that Respondent Sinochem Ningbo, Ltd. (“Sinochem”) has violated Section 337 in the importation into the United States, sale for importation, and sale after importation of certain portable power stations and packaging therefor by reason of infringement of U.S. Design Patent No. D469,739; U.S. Trademark Registration No. 2,594,538; and U.S. Copyright Registration No. VA-1-261-495. The investigation was instituted on March 14, 2006. *See 71 Fed. Reg.* 13166 (March 14, 2006). Respondent Sinochem did not respond to the Complaint or Notice of Investigation or otherwise appear, and on July 12, 2006, the Judge found Sinochem to be in default. (Order No. 5; Commission Decision not to Review, July 20, 2006). On August 23, 2006, the Commission issued the Notice of Request for Written Submissions on Remedy, the Public Interest, and Bonding with Respect to the Respondent Found in Default. *See 71 Fed. Reg.* 51210 (Aug. 29, 2006). Complainant filed a submission on remedy, the public interest, and bonding on September 5, 2006, and OUII filed its submission on September 6, 2006. Respondent Sinochem has not made any submissions.

² A complete statement of the relevant background is set forth in OUII’s initial submission. (*See* OUII Remedy Br. at 2-3).

III. DISCUSSION

A. Remedy

OUII is of the view that the appropriate remedy in this investigation is a limited exclusion order, with a provision requiring Complainant to periodically report as to the status of its trademark rights. (OUII Remedy Br. at 4-5).³ Complainant similarly requests entry of only a limited exclusion order. (Compl. Remedy Br. at 3). The relevant portion of Section 337 provides that in case of a default, “the Commission shall presume the facts alleged in the complaint to be true and shall, upon request, issue an exclusion from entry or a cease and desist order, or both, *limited to that person*.” 19 U.S.C. § 1337(g)(1) (emphasis added). The Commission should therefore issue a limited exclusion order directed at infringing goods manufactured or imported by or on behalf of Respondent Sinochem.

OUII is of the view that view that a cease and desist order is not appropriate. (OUII Remedy Br. at 5-6). Complainant has not requested a cease and desist order, and acknowledges that there is no evidence that Respondent

³ As noted in OUII’s initial submission, trademarks (unlike patents or copyrights) can be maintained indefinitely, and exclusion orders based on trademarks can impose special burdens on CBP by requiring CBP to enforce orders of unlimited duration. Current Commission practice is therefore to require complainants in trademark-based investigations to periodically certify that they continue to use the relevant marks. If a complainant abandons a mark, then the Commission may then revoke its exclusion order. (*See id.*).

maintains a domestic inventory of infringing goods. (Compl. Remedy Br. at 3).

A limited exclusion order is therefore sufficient to provide the relief to which Complainant is entitled, and a cease and desist order is not necessary.

B. The Public Interest

Even in the case of a default, the Commission may not issue a remedy if it determines that such remedy will be contrary to the public interest. 19 U.S.C. § 1337(g)(1). Here, however, Complainant contends the public interest will be advanced by issuance of an exclusion order. (Compl. Remedy Br. at 3-4). Complainant specifically points out that the requested order is limited in scope and will not disrupt legitimate trade, and that the public interest favors protection of intellectual property rights and the protection of consumers from confusion as to the maker of the products at issue. (*Id.*). As discussed in its initial submission, OUII is not aware of any public interest concerns that militate against the issuance of its proposed exclusion order. (OUII Remedy Br. at 7). OUII is therefore of the view that entry of an exclusion order is appropriate.

C. Bonding

OUII recommends that the Presidential review period bond be set at 100% of the entered value of the infringing imported products. (OUII Remedy Br. at 8-9). Complainant similarly requests a bond in the amount of 100% of entered value. (Compl. Remedy Br. at 4). As noted above, Respondent did not make any submissions. OUII therefore believes that a bond set at 100% of entered value

will be “sufficient to protect the complainant from any injury.” 19 U.S.C. § 1337(j)(3); 19 C.F.R. § 210.50(a)(3).

IV. CONCLUSION

For all of the above reasons, OUII is of the view that the Commission should enter a limited exclusion directed at the infringing products of Respondent Sinochem Ningbo, Ltd., and that this exclusion order should contain a provision requiring Complainant to report annually on the status of its trademark. OUII does not believe that a cease and desist order should be issued. Finally, OUII believes that the Presidential review period bond should be set at 100% of entered value.

Respectfully submitted,

/s/ David O. Lloyd

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September 13, 2006

CERTIFICATE OF SERVICE

The undersigned certifies that on September 13, 2006, he caused the foregoing **REPLY BRIEF OF THE OFFICE OF UNFAIR IMPORT INVESTIGATIONS ON REMEDY, THE PUBLIC INTEREST, AND BONDING** to be filed with the Secretary (in electronic format), served by hand upon Administrative Law Judge Charles E. Bullock (2 copies), and served upon the parties (1 copy each) in the manner indicated below:

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